Title: Two Massachusetts Men Plead Guilty To Their Roles In Multi-Million Dollar Bank Fraud Ring
Date: 2026-05-01
Office: USAO - Massachusetts
Source:
https://www.justice.gov/usao-ma/pr/two-massachusetts-men-plead-guilty-their-roles-multi-million-dollar-bank-fraud-ring

BOSTON – Two Massachusetts men pleaded guilty in federal court in Boston to their roles in a multi-million-dollar scheme to defraud banks in Massachusetts, Connecticut and Rhode Island.

Victor Kolawole, 26, of Brockton and Keith Wainaina, 24, of Lowell, pleaded guilty to conspiracy to commit bank fraud, bank fraud and conspiracy to commit money laundering. U.S. District Court Judge Julie E. Kobick scheduled sentencings for July 23, 2026 and Sept. 9, 2026, respectively. In July 2025, Wainaina and Kolawole were arrested along with four others.

Beginning no later than December 2022, Kolawole and Wainaina conspired with Phalentz Vernot and others to defraud local banks. Specifically, Vernot obtained, without authorization, the names, dates of birth, Social Security numbers and bank account numbers of customers of various local banks. Vernot and Wainaina then identified individuals to pose as these customers and procured fake identification documents with the victim customers' names but the imposters' photos. Vernot and Wainaina then drove the imposters to banks, where the imposters presented the fake identification documents and withdrew large sums from the victim customers' accounts in the form of Cashier's checks. Wainaina and Kolawole then deposited those checks into bank accounts they controlled and used the funds to purchase additional Cashier's checks payable to Vernot. Vernot used some of the money to pay the individuals posing as bank customers as well as bank insiders who helped to facilitate their scheme, including by intentionally skipping customer verification protocols. Wainaina deposited, or attempted to deposit, more than $762,000 in Cashier's checks drawn on victims' accounts into bank accounts he controlled. Kolawole deposited approximately $373,000 in Cashier's checks drawn on victims' accounts into bank accounts he controlled.

Vernot pleaded guilty in December 2025 and is scheduled to be sentenced on July 22, 2026.

The charges of bank fraud and conspiracy to commit bank fraud provide for a sentence of up to 30 years in prison, five years of supervised release and a fine of $1 million or twice the gross gain or loss, whichever is greater. The charge of conspiracy to commit money laundering provides for a sentence of up to 20 years in prison, three years of supervised release and a fine of $500,000 or twice the amount of money involved in the laundering transactions, whichever is greater. The charge of aggravated identity theft carries a mandatory two-year prison sentence consecutive to any sentence received on the other charges. Sentences are imposed by a federal district court judge based upon the U.S. Sentencing Guidelines and statutes which govern the determination of a sentence in a criminal case.

United States Attorney Leah B. Foley; Ted E. Docks, Special Agent in Charge of the Federal Bureau of Investigation, Boston Division; and P.J. O'Brien, Special Agent in Charge of the Federal Bureau of Investigation, New Haven Division made the announcement today. Valuable assistance was provided by the Connecticut State Police and the Gloucester (R.I.), Sutton, Concord (Mass.), Dracut, Westwood and Abington Police Departments. Assistant U.S. Attorney Kristen Kearney of the Securities, Financial & Cyber Fraud Unit is prosecuting the case.

On April 7, the Department of Justice announced the creation of the National Fraud Enforcement Division ("Fraud Division"). The Fraud Division is laser-focused on investigating and prosecuting those who commit fraud against the American people. The Department's work to combat fraud supports President Trump's Task Force to Eliminate Fraud, a whole-of-government effort chaired by Vice President J.D. Vance to eliminate fraud, waste, and abuse within Federal benefit programs.